

Hares Win (But How Can That Be?)

Yet just a few years later, Bernstein changed his mind. Let me try to sum up in a few paragraphs the gist of his formidably influential article in the March 1, 2003, edition of his *Economics & Portfolio Strategy*.

We simply do not know about the future. There is no assurance that historical experience will replay itself in any shape, form, or sequence. The expected equity premium not only is low, but also doesn't take into account the abnormalities lurking in today's investment environment. We're living in unprecedented times.

So get rid of the extra freight of long-term optimization and let short-term forces play the dominant role. Rely on a bipolar portfolio, with one segment for good news and one for bad news, reaching for the most volatile asset classes to do the job. Build ramparts around equities, such as gold futures, venture capital, real estate, instruments denominated in foreign currencies, Treasury Inflation-Protected Securities (TIPS), and long-term bonds.

And the icing on the cake: Don't do any of these things permanently. Opportunities and risks will come and go. Change allocations frequently. Be flexible. Buy-and-hold investing is the past; market timing is the future.

I salute Peter Bernstein for marching, red cape and all, into an arena filled with bulls—and bears—and I admire him immensely for trying to reconcile the irreconcilable. And indeed there is much merit in what he recommends, however difficult it may be to implement. But what he is really recommending, in my judgment, is speculation. And it is a loser's game.

The Perils of Market Timing